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Dear Interested Party

Request for submissions: MicroStar Logistics, LLC's proposed acquisition of the assets of Konvoy Holdings Pty Limited (Receivers and Managers Appointed) (Administrators Appointed)

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of certain assets from Konvoy Holdings Pty Limited (Receivers and Managers Appointed) (Administrators Appointed) (**Konvoy**) by MicroStar Logistics, LLC (**MicroStar**) (the **Proposed Acquisition**).

MicroStar and Konvoy both operate keg services businesses which offer a range of keg logistics services. The acquirers of these services are typically brewers who wish to supply their products to licensed venues to be served on tap. Further information about the keg logistics services industry can be found at **Attachment A**.

Konvoy is in administration and is controlled by receivers. The receivers have commenced a formal sale process, which MicroStar has been involved in. We understand that MicroStar proposes to acquire the following assets:

- kegs
- keg tracking technology hardware and software (known as 'Katch')
- select employees
- a keg repair and maintenance facility, which includes a property lease located in Dandenong South, Victoria, and
- other ancillary assets.

The ACCC's investigation is focused on the impact on competition. In particular, we are seeking your views on:

- how closely MicroStar and Konvoy compete to supply keg logistics services in Australia

- the extent to which brewers can switch from using the services provided by MicroStar and Konvoy to alternative methods to supply their products to licensed venues (including owning or leasing kegs, or canning and bottling), and
- the likely impact of the proposed acquisition on prices, quality and/or service levels for keg logistics services in Australia.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **1 July 2025** via email to mergers@accc.gov.au with the title: *Submission re: MicroStar / Konvoy*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely



Daniel McCracken-Hewson
General Manager
Merger Assessments

Attachment A

The acquirer – MicroStar

MicroStar is the largest independent keg services company in the United States and has operations in the UK, Europe, Australia and New Zealand. It entered the Australian market in 2021 via the acquisition of the Kegstar business from Brambles.

In Australia, MicroStar handles the activities and costs relating to a brewery's keg use (for example, keg capital costs, reverse logistics, repair & maintenance, and keg management labour) under a pay-per-fill (PPF) model.

Under the PPF model, a brewery will order the number of kegs it requires, these are then delivered to the brewery for them to clean and fill and ship to the brewery's customers. The brewery provides information on full keg deliveries to MicroStar who then tracks the kegs to the brewery's customers (i.e. licensed venues), and then MicroStar arranges to collect the empty kegs for further use by its PPF customers. Brewers will pay for this PPF service based on the number of kegs that the brewery refills.

The target – Konvoy

Konvoy operates a keg services business in Australia and New Zealand. In Australia, it provides keg rentals on a short-term basis ('keg pooling') and leases kegs on a long-term basis, for a period of 12-60 months ('keg leasing'). Under its long-term keg leasing, brewers can lease kegs for their brewery for a monthly fee.

Its short-term keg pooling is a PPF model. As part of this, Konvoy stores and maintains a fleet of serviced kegs, which may be tracked, and are delivered to brewers as needed in exchange for a fixed fee. The brewers will then clean, fill and distribute the kegs and Konvoy tracks the kegs and arranges a pickup from the brewer's customer (i.e. licensed venues) once they are empty.

In addition to these leasing services, Konvoy offers separate keg maintenance & repair and branding services. It also sells kegs to customers and supplies a tracking technology, known as 'Katch', as part of its logistics offering which assists with tracking kegs across the supply chain.

Proposed acquisition

On 11 March 2025, Konvoy entered receivership. As part of the receivership process, the receivers have commenced a formal sale process, which MicroStar has been involved in. We understand that MicroStar proposes to acquire the following assets:

- a) kegs,
- b) keg tracking technology hardware and software (known as 'Katch'),
- c) select employees,
- d) a keg repair and maintenance facility, which includes a property lease located in Dandenong South, Victoria, and
- e) other ancillary assets.

Area of overlap

MicroStar and Konvoy both supply PPF services to various brewery customers in Australia. The acquirers of PPF services are brewers who wish to supply their products to licensed venues to serve their product on tap.

Once beer has been brewed and conditioned, it can be served at the brewery itself (i.e. direct to consumers via a 'tap room') or be packed. This can be done in kegs (for draught beer), bottles, or cans, depending on the intended market and consumption method.

Brewers who wish to package their beer in kegs have a choice of keg logistics options to select from such as:

- keg ownership (which can include stainless steel kegs and plastic (one-way) kegs)
- keg leasing, and
- PPF (such as the merging parties' respective offerings).

Once beer has been packaged, it is transported from the brewery to its destination. This can be handled by the brewer or a third-party logistics providers depending on the keg usage model adopted by the brewer.

Keg leasing or ownership

Brewers who lease or own kegs are considered responsible for them and their movements. Similar to a PPF model, these brewers will either need to distribute their kegs to licensed venues themselves or otherwise outsource this to a third-party logistics provider. However, in contrast to a PPF model, when the kegs are empty (except in the case of plastic-one-way kegs), the brewer is also responsible for transporting them back to the brewery to be refilled and cleaned/repaired (if required).

With PPF, the same kegs are shared by many breweries, as opposed to an ownership or leasing model in which the kegs that a brewery receives would be considered its property.

Since kegs are shared by many breweries under a PPF model, empty kegs can be transported to another brewery who uses the same service provider.

Pay-per-fill

MicroStar and Konvoy both offer PPF services to customers.

Both MicroStar and Konvoy store and maintain a fleet of kegs. Brewers can then order, and subsequently fill kegs to meet their requirements.

Customers of Konvoy and MicroStar are then responsible for the transportation of kegs to licensed venues. There are third party logistics suppliers such as BevChain, amongst many others, who can supply these services to brewers.

Once the kegs are empty, the PPF provider will arrange pickup from the licensed venue and then redistribute them to its customers to be refilled. In such models, brewers will pay fees depending on how many kegs it refills.

Attachment B

Your business

1. Please provide a brief description of your business or organisation.
2. Please outline the reasons for your interest in the proposed acquisition, including any commercial relationship(s) with MicroStar and/or Konvoy. This will help us better understand your views.

Areas of overlap

3. For each of the last two years, identify the number of kegs you:
 - a. owned (separated by traditional steel kegs and plastic (one way) kegs)
 - b. leased (for example where you pay a monthly fee)
 - c. filled using a PPF model (i.e. using the PPF services provided by either of the parties).
4. For each of the last two years, provide the total spend carried out by your organisation for each of the following services (including any costs to third parties):
 - a. PPF, and
 - b. keg leasing.
5. If you own kegs, please outline the amount spent to purchase these kegs and any ongoing costs, such as financing, depreciation, lost keg costs and maintenance incurred as a result of this ownership.
6. For customers of MicroStar and/or Konvoy, please explain:
 - a. how you would choose a supplier (for example, do you go out to tender or negotiate privately?)
 - b. whether you acquire keg logistics services from multiple suppliers
 - c. your considerations when selecting a supplier
 - d. do you acquire any other services from your supplier(s), and
 - e. whether you consider keg ownership or leasing to be a viable alternative to the keg logistic services offered by MicroStar and Konvoy.
7. How do MicroStar and Konvoy compare as suppliers of keg logistic services, taking into account factors such as:
 - a. range of services
 - b. convenience
 - c. price
 - d. quality, and/or
 - e. reputation.
8. Please identify any other suppliers of keg logistic services that your business could use outside of MicroStar and Konvoy.
9. Have you ever switched between types of keg solutions (for example owning kegs, leasing kegs, PPF model, plastic (one way) kegs, etc)?
 - a. If so, what factors influenced your decision?
 - b. What would make you consider switching in the future?

10. To what extent do you consider canning and/or bottling beer to be an alternative to using kegs? In what circumstances, if any, would you consider switching from using kegs to canning and/or bottling?
11. What would be involved to establish or expand a keg logistics business in Australia in competition with the merger parties (for example investment costs, or existing long-term contracts)? How difficult would this be and why?

Other information or competition issues

12. Outline any concerns you may have about the proposed acquisition, including any impact on price or service quality in the supply of keg logistics services.
13. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.